www.tntextbooks.in

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2016	Depreciation A/c	Dr.		5,000	
Mar. 31	To Buildings A/c				5,000
	(Depreciation on buildings provided)				

Transfer entry

Date	Particulars		L.F.	Debit `	Credit `
2016	Profit and Loss A/c	Dr.		5,000	
Mar. 31	To Depreciation A/c				5,000
	(Depreciation transferred)				

In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st March, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Depreciation on buildings	5,000				

Balance Sheet as on 31st March, 2016

Liabilities	`	`	Assets	`	`
			Buildings	50,000	
			Less: Depreciation	5,000	45,000



When a provision for depreciation account is created, the entry is

Profit and Loss A/c Dr. xxx

To Provision for depreciation A/c xxx

Here the asset account is not reduced with depreciation. It will appear in the balance sheet at its original cost. Provision for depreciation accumulated up to date will appear on the liabilities side of balance sheet.

(xi) Bad debts

When it is definitely known that amount due from a customer (debtor) to whom goods were sold on credit, cannot be realised at all, it is treated as bad debts. In other words, debts which cannot be recovered or irrecoverable debts are called bad debts. It is a loss for the business and should be charged against profit.



Student activity **Think:** Why do business entities sell goods on credit?